

THE TENDENCY TO FRAME INVESTMENTS ON WELFARE **AS POLITICAL EXPEDIENCY THAT SQUEEZES FISCAL SPACE** RATHER THAN AS A REQUIRED FUNCTION OF THE STATE IS DEEPLY TROUBLING

GDP on education, South Africa 6.6 per cent, compared to India's 4.6 per cent. Social protection spending in China (which includes cash transfers) amounts to 7.9 per cent and, in Brazil, a whopping 17 per cent, compared to India's 4 per cent of the GDP. Indeed, despite the plethora of cash transfers, India has not seen a significant expansion in welfare spending. Cash transfers have been financed largely through expenditure switching—reprioritising funds from health, education and capital expenditure and, in some states, by driving up deficits. At the national level, this is even starker. Between 2014 and 2024, social expenditure as a proportion of total government expenditure declined—except for the pandemic years—from 22 per cent to 19 per cent in 2024-25. Given this tendency for expenditure switching, the presence of cash transfers is an important pivot in our welfare regime.

It is commonplace in the media, in seminar rooms and in elite drawing rooms to deride these as 'freebie' politics, 'bribes' or '*revdis*' (Prime Minister Narendra Modi's own contribution to the lexicon) in exchange for votes that place unnecessary burdens on the exchequer. This tendency to frame public investments on welfare in terms of political expediency that squeeze fiscal space rather than an obligatory function of the state is a deeply troubling formulation.

The failure to invest in people has long been the Achilles heel of the Indian economy. But the freebie discourse is a mirror to a broader malaise. That a country which spends so little on its people, where growth has been accompanied by large-scale cronyism and staggering inequality, has a public culture which is quick to contemptuously dismiss welfare spending as 'freebies' and 'bribes' speaks to how devoid of any notion of justice and solidarity public debates are. Moreover, it undermines a legitimate democratic negotiation between the masses, whose voices are invisible in the corridors of policymaking, and their elected representatives. By casting schemes in their names as 'bribes', we strip voters of their agency, casting them as passive actors who can be 'bought'. The modicum of public spending on welfare in India is an outcome of a genuinely democratic process emerging from grassroots social movements and citizen pressure. It is this that put in place pensions, PDS, midday